Everything About Finance Minor
Compiled by
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What is Finance Minor basically?

A Finance minor is often regarded as a strategic choice for students, particularly those in core branches, aiming to secure opportunities at top financial institutions through PS-II, summer internships, or final placements. It is a buzzword frequently echoed by seniors and is often seen as a gateway for those seeking alternatives to core placements.

This guide is designed to provide insights into pursuing a Finance minor specifically at BITS Pilani, Pilani Campus. Compiled by seniors who have either completed or are in the process of completing the minor, it serves as a reference rather than a strict roadmap. Your individual approach may vary based on factors beyond your direct control, such as your networking (PR), branch, and, in some cases, CGPA.

But, Why Finance Minor?

The primary reason for pursuing a Finance minor, as mentioned earlier, is to explore career opportunities beyond your core discipline. This minor opens doors to roles such as Investment Banking, Risk Analysis, Equity Research, Global Markets, and other specialized financial domains. If you've ever envisioned yourself as the next "Wolf of Wall Street," this could be a valuable stepping stone.

While a Finance minor is not mandatory for securing non-tech or non-core roles, it can provide a competitive edge in certain cases. Even if you are not fully committed to a career in finance, having this minor on your résumé can still be beneficial.

What are the courses?

The Finance Minor at BITS Pilani consists of two compulsory courses: Fundamentals of Finance and Accounting (FundaFin) and Financial Management (FinMan). Attendance in all classes is highly recommended for these courses, as a strong understanding of the concepts is crucial. In addition to these compulsory courses, students must choose three optional courses from the pool provided. However, from a career perspective, there are certain courses that are essential to select, as outlined below:

1. Fundamentals of Finance and Accounting (FIN F212 / ECON F212)

This is typically the first course for most students pursuing the Finance Minor and is highly recommended to complete as early as possible. Disclaimer: While the course is titled "Fundamentals of Finance," it is primarily focused on accounting, with finance concepts introduced alongside. It provides a solid foundation in finance, as it covers accounting fundamentals such as ledgers, balance sheets, income statements, cash flow statements, and financial ratios.

This course is essential as it serves as a prerequisite for Financial Management (FinMan). It is advisable to take this course by the end of your 2-1 or 2-2 semester. The course is relatively easy but requires consistent practice and attention. It is typically taken by Economics students in their 2-1 semester, but many other students take it in their second year.

2. Derivatives and Risk Management (DRM)

This course introduces options, trading strategies, futures, stocks, and other financial instruments. It covers complex topics such as Greek letters, decision trees, and various risk management strategies. While the course is highly engaging, it is also math-heavy, requiring significant effort to understand the material. If you struggle to grasp concepts during lectures, referring to the course textbook will be essential. The course demands logical thinking and offers competitive evaluations, which makes it polarizing—students either love it or struggle with it. DRM is a prerequisite for FRAM (Financial Analysis and Risk Management).

3. Security Analysis and Portfolio Management

This course focuses on the trading and portfolio management aspects of finance. It covers a range of topics that draw from the knowledge gained in other finance courses. Although it involves math, particularly the calculation of standard deviations and means, the course is relatively easy. It provides a solid understanding of portfolio management, which is essential for those interested in roles related to trading or asset management.

4. Business Analysis and Valuation

An intriguing and useful course, Business Analysis and Valuation is divided into two parts. The first part, which includes concepts like Porter's Five Forces, the BCG Matrix, and product profiling, is particularly beneficial for non-tech placements and should be taken seriously. The second half of the course focuses on calculating Free Cash Flow to Firm (FCFF) and Free Cash Flow to Equity (FCFE). This course is highly recommended for students interested in business-oriented roles.

Pro Tip: To excel in this course, it's highly beneficial to refer to the lectures and papers by NYU Professor Aswath Damodaran, a resource that many seniors found helpful.

5. Financial Management (FinMan)

This is a balanced course that combines both theory and mathematics. The first part of the course focuses on market dynamics, various types of risks, and risk measurement techniques, while the second part covers project management, including the evaluation of expansion and new projects. This course is generally well-received after students have navigated the more challenging first two finance courses.

As with FundaFin, Aswath Damodaran's papers are incredibly useful in understanding key concepts in this course. FundaFin is a prerequisite for FinMan, and it's important to complete FundaFin before attempting FinMan—both cannot be taken concurrently.

6. Financial Analysis and Risk Management (FRAM)

Regarded as one of the toughest courses in the Finance Minor, FRAM is highly mathematically intensive and requires a significant amount of rigor and practice. This course is crucial for those aiming for roles in financial risk analysis, and it is often listed as a prerequisite by companies like Credit Suisse. Some PS-II stations also use this course for offshoot calculations.

Due to the course's complexity, it's recommended to take it during a semester when you do not have a heavy workload. Attempting FRAM while overloaded with other finance courses can negatively impact your CGPA.

What are the job routes through Fin Minor?

To secure a job in finance, the primary route is through the PS-II (Practice School - II) program in the 4th or 5th year, where top financial firms like JP Morgan, Credit Suisse, and others recruit interns, often leading to Pre-Placement Offers (PPOs). The Practice School Division (PSD) assigns finance PS-II stations based on a combination of CGPA and Offshoot Score, which is the cumulative score derived from grades obtained in all Finance Minor courses. For example, if a student scores a B grade (8 points) in all courses, their offshoot score would be 40/50 (or 48/60 if including FRAM). To maximize chances of selection, students should aim for a high offshoot score along with a strong CGPA, as CGPA acts as a tie-breaker when offshoot scores are similar. Most students opting for finance stations prefer Semester 1 PS-II, allowing them to sit for placements in Semester 2, unless they receive a PPO. To be eligible for PS-II in 4-1, all finance minor courses must be completed by 3-1 (recommended), whereas for PS-II in 4-2, completion by 3-2 is required. Balancing CDC courses with finance courses is essential, as neglecting CGPA can be a disadvantage in PS-II allocation and final placements.

What is the Finance Minor pathway for Singlites?

For Single Degree students, it is highly recommended to begin the Finance Minor by taking Fundamentals of Finance & Accounting (FundaFin) in 2-1, followed by Derivatives and Risk Management (DRM) and another optional finance course in 2-2. Some students prefer completing only FundaFin and DRM in their second year, while others opt for three courses to reduce academic pressure in 3-1, where CDC workloads typically increase. However, taking three finance courses in 2-2 requires significantly more effort. The ideal approach is to complete 2-3 courses in the second year, ensuring that FundaFin and DRM are included, as they are prerequisites for Financial Management (FinMan) and Financial Analysis & Risk Management (FRAM), respectively.

In the third year, students should take FinMan, Security Analysis & Portfolio Management (SAPM), Business Analysis & Valuation (BAV), and FRAM (if possible). To accommodate FRAM in 3-1, students must complete at least three finance courses in the second year. If a student is unable to secure FundaFin or DRM in 2-1, they should prioritize enrolling in them during 2-2, as many seniors have successfully managed with just one course in their second year while still achieving a strong offshoot score and PS-II station.

The key to successfully completing the minor lies in strategic course planning, which should be done in consultation with seniors from the same branch, as they can provide insights on CDC workload management. Neglecting CDCs is a common mistake that can significantly impact CGPA and PS-II allocations, so maintaining a balanced academic approach is crucial.

What is the Finance Minor pathway for Dualites (Mainly Non Eco Dualites)?

For Non-Economics Dualites, completing a Finance Minor requires careful planning, as the third year is heavily loaded with CDCs. To accommodate the minor, it is essential to take a few finance courses during the summer term, as completing them during regular semesters may not be feasible. Despite this, it is still highly recommended to complete as many Finance courses as possible in the second year, while also considering the Humanities Electives, as they may affect eligibility for a dual PS. Consulting seniors who are dualites and have successfully completed the minor is crucial for efficient planning.

Rather than viewing the summer term as an additional burden, it should be seen as an opportunity to manage coursework more effectively and reduce the academic load in later semesters. For Economics Dualites, the finance courses mentioned are part of their Discipline Electives (DELs) and can be completed in any order. However, if they intend to pursue a 5-1 PS-II, they must ensure all courses are finished before 4-1 to meet eligibility requirements.

Drive Link: **FINANCE MEGA DRIVE | SAJAL YADAV**